

Research Task Findings

Part (i) & Part (ii)

Company No.	Company Letter	Pandemic Impact
1	B	Positive (increased demand for tech during pandemic and lockdowns)
2	A	Negative (reduced demand due to lockdowns)
3	E	Positive (improved prospects due to pharma-led solution for pandemic)
4	F	Positive (increased demand for games due to lockdowns and time at home)
5	C	Negative (reduced demand for vehicles)
6	D	Neutral (water is essential with relatively inelastic demand)

Part (iii)

Are Tesla's bonds cheap or expensive vs. peers?



Tesla's bonds are cheaper than those of its peers, given its elevated bond yield of >4% which is reflective of its Non-Investment Grade / Speculative Grade rating.

Part (iv)

Recommendation: BUY



Explanation: Whilst the pandemic may impact demand and Tesla is smaller in than its peers, its bonds are relatively cheap, and it has the most promising outlook, coupled with a net cash position and strong free cash flow generation.